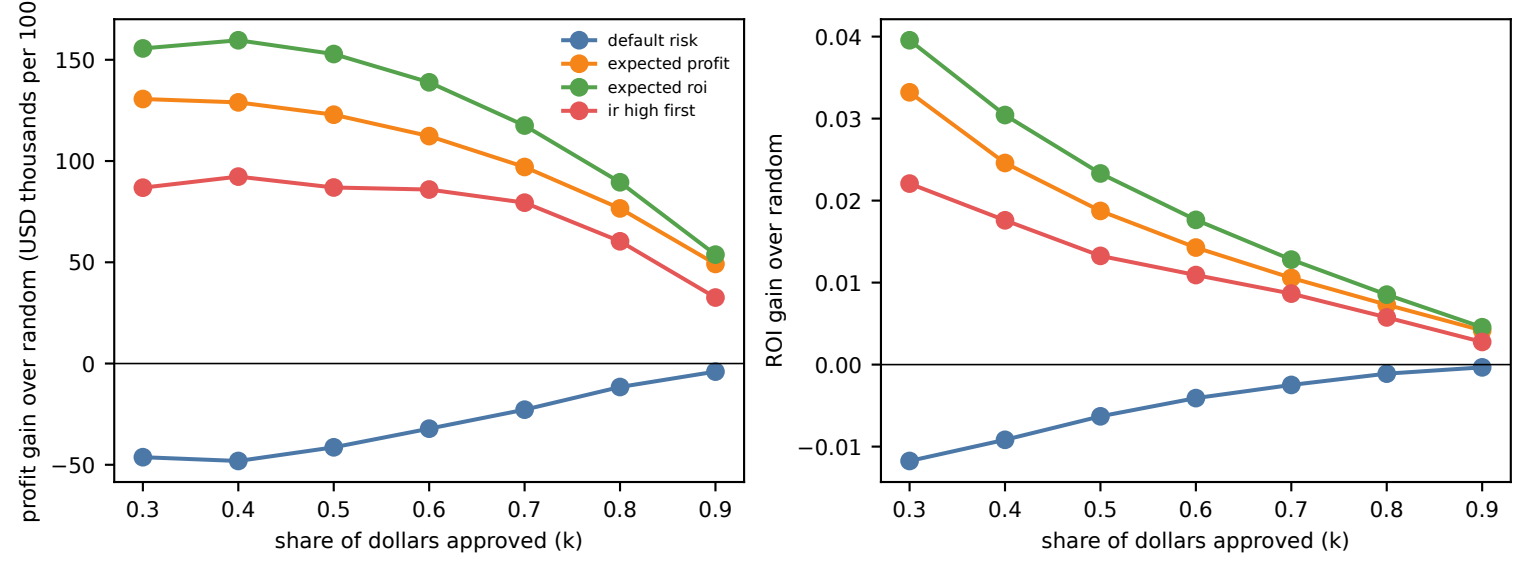
default risk
expected profit
expected roi
ir high first
profit gain over random (USD thousands per 100
150
100
50
0
−50
0.3
0.4
0.5
0.6
0.7
0.8
0.9
share of dollars approved (k)
ROI gain over random
0.04
0.03
0.02
0.01
0.00
−0.01
0.3
0.4
0.5
0.6
0.7
0.8
0.9
share of dollars approved (k)